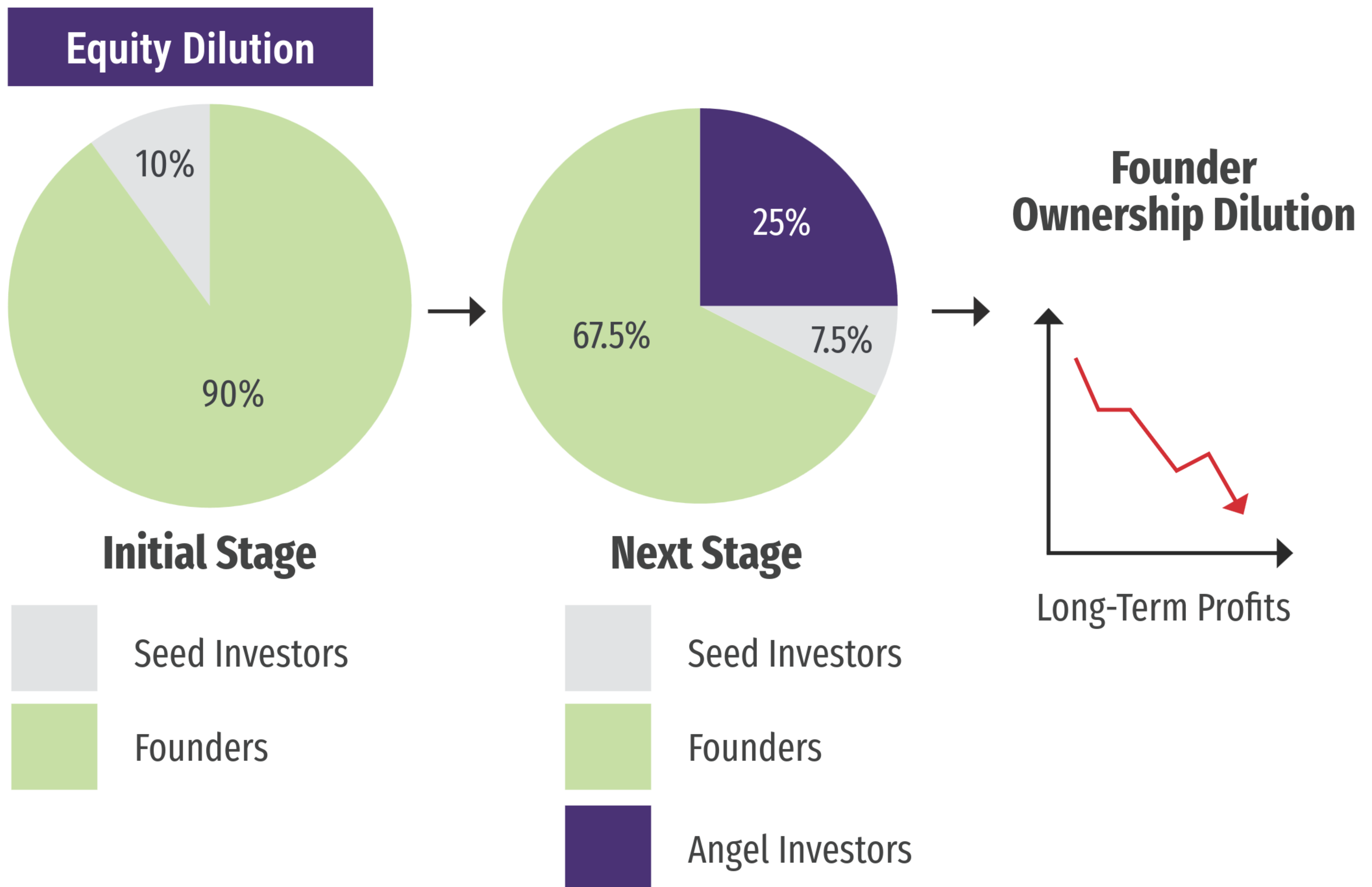


A common mistake to avoid in the seed round

Avoid allocating too much equity in exchange for capital. It can lead to a high dilution of the ownership stake, which impacts the long-term share of profits. Therefore, you should negotiate with investors for the company's long-term value and control.

**Series A**

The Series A stage marks a significant milestone where a startup has demonstrated initial success with its products or services but still has a long journey ahead. At this phase, expectations rise considerably, and startups seek investment from institutional investors such as venture capital firms (VCs). Additionally, alternative funding sources like accelerators are often explored for strategic support.

A critical mistake to avoid at this stage is rushing into investment deals without thorough evaluation and expert guidance, including legal counsel. A hasty decision made without proper due diligence can lead to long-term consequences for the company. Therefore, it's crucial to negotiate carefully, assess investment terms, and seek professional advice before finalizing any deal.

Another key pitfall is failing to monitor equity dilution, which can impact ownership control and future fundraising potential. Staying proactive in managing equity ensures founders can make informed decisions about long-term growth and financing strategies.

